Producer Price Index Summary – May 2026

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[2]ABSTRACT

The May 2026 Producer Price Index (PPI) data reveals a sharp acceleration in wholesale inflation, with Headline PPI rising 1.1% MoM and 6.5% YoY. This spike was primarily driven by the Final Demand Energy sector (+10.7% MoM / +36.6% YoY), triggered by supply strains from the closure of the Strait of Hormuz, which sent Gasoline up 23.4% and Crude Petroleum up 11.3%. While Core PPI rose 0.8% MoM, steep declines in commodities like Pork (-10.1%) and Corn (-6.0%) provided localized offsets. Recent diplomatic progress has already begun cooling oil prices, suggesting that the inflationary spike may subside if maritime trade resumes. Given the highly situational nature of this energy shock, a cautious approach to monetary policy is recommended while awaiting further labor and inflation data.

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[2] *Generated using Artificial Intelligence.*

PPI Breakdown

Categorial Changes

[3]Table 1: Aggregate Trends | Highest MoM Increases & Decreases

Category	MoM %	YoY %
Gasoline	23.4%	39.3%
Crude Petroleum	11.3%	61.8%
Processed Energy Goods	10.4%	10.4%
Raw Milk	18.5%	13.2%
Pork	-10.1%	-3.8%
Aluminum Base Scrap	-7.8%	12.8%
Corn	-6.0%	-10.4%
Slaughter Chickens	-4.9%	-12.7%
Trade of Personal Consumption Goods	-0.9%	3.0%
Government Purchased Foods	-0.1%	3.4%

Composition

As expected with the Strait of Hormuz situation Crude, Gasoline, and Processed Energy Goods rose dramatically. Gasoline rose 23.4% MoM, Crude 11.3% MoM, Final Demand Energy 10.7% MoM, and Processed Energy Goods 10.4% MoM. Raw Milk saw huge gains as demand for the product rose; Raw Milk gained 18.5% MoM.

On the other hand Pork, Corn, Chickens (Slaughtered), and Aluminum Base Scrap saw huge declines. Pork dropped 10.1% MoM, Corn dropped 6.0% MoM, Slaughtered Chickens dropped 4.9%, and Aluminum Base Scrap dropped 7.8%.

[3] *Sources: BLS PPI News Release Summary & Table 2 (Commodity Groupings)*

Sector Overall

[4]Table 2: Sector Breakdown by Final Demand Groupings

Sector	YoY %	MoM %
Headline PPI (Final Demand)	6.5%	1.1%
Final Demand Goods	10.4%	2.8%
Final Demand Energy	36.6%	10.7%
Final Demand Services	4.9%	0.3%
Final Demand Transportation Services	14.2%	2.6%
Final Demand Less Foods, Energy, & Trade (Core)	5.1%	0.8%
Final Demand Foods	2.6%	0.6%
Finished Consumer Goods Less Foods & Energy	3.5%	0.3%
Final Demand Trade Services	4.1%	-1.1%

Composition

Headline PPI Final Demand showed how each sector overall increased with a 6.5% YoY & 1.1% MoM. While the entire Final Demand Goods sector led this increase, one sector stood out: Finals Demand Energy increasing 10.7% MoM and a 36.6% YoY.

[4] *Sources: BLS PPI Table 1 (Seasonally Adjusted Final Demand)*

[5]Interpretation

PPI data released heightened as I expected. With the Strait of Hormuz closed, Oil & Energy sectors increased from the strain.

With the US stopping yesterday's bombing today and positive reactions coming off of that such as increased Index prices and drops in Oil prices; we can see cooling on Energy & Oil since talks are continuing and improving.

As for the case of Rate Hikes or Cuts, I'd like to remain cautious and wait for more data to release regarding both the Labor and Inflation market. This is because Energy & Oil prices can act as noise on data since the main issue is focused on one situation. Meaning if that situation can be resolved, Inflation data will read as cooling to less heated than presented at the moment.

If this situation is not resolved, a deal is not made as promised, and the Strait remains closed, that will put further strain on the market.

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[5] *This section reflects the author's interpretation of the U.S. Bureau of Labor Statistics Producer Price Index Summary data (May 2026) and is not official commentary from the U.S. Bureau of Labor Statistics. Figures are based on estimated net changes in the Producer Price Indexes. MoM comparisons reflect May vs April 2026. Minor discrepancies may exist due to rounding across subcomponents. All conclusions regarding the Inflation, Labor, market strength, sector rotation, and other dynamics are personal analytical inferences drawn from the reported data.*